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8. What is journal proper?
9. Define bill of exchange.
10. What is an opening entry?
11. What is an invoice?

III Short answer questions

1. Give the format of purchases book.
2. Mention the subsidiary books in which the following transactions are recorded.
   (i) Sale of goods for cash
   (ii) Sale of goods on credit
   (iii) Purchases of goods on credit
   (iv) When the proprietor takes goods for personal use
   (v) Goods returned to suppliers for which cash is not received immediately
   (vi) Asset purchased as credit.
3. What are the advantages of subsidiary books?
4. Write short notes on:
   (a) Endorsement of a bill and
   (b) Discounting of a bill

IV Exercises

1. Enter the following transactions in the Purchases book of M/s. Subhashree Electric Co., which deals in electric goods.

   2017

   April 5 Purchased from Karthik Electric Co., on credit
   10 Electric iron box @ ` 2,500 each
   5 electric stoves @ ` 2,000 each

   April 19 Purchased on credit from Khaitan Electric Co.,
   3 electric heaters @ ` 6,000 each

   April 25 Purchased from Polar Electric Co., on credit
   10 Fans @ ` 2,000 each

   April 29 Purchased from M & Co. for cash
   10 electric stoves @ ` 3,000 each

   (**Answer:** Purchases A/c. (Dr.) ` 73,000)